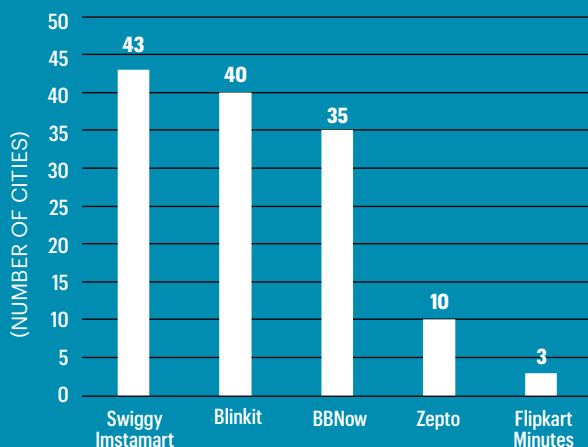




CITY RIDERS

- Swiggy Instamart has stolen a march over its rivals in terms of geographical spread
- Zepto is at a distant fourth among the major quick commerce players



Kushal Bhatnagar, Associate Partner at RedSeer, says quick commerce companies don't have deeply structured category expansion plans. They focus on grocery as the core offering while trying to become a neighbourhood convenience store.

The melee attracts everyone with a product to deliver, the keyword being "quick". Apart from the pure-play quick-commerce names, it has attracted e-commerce giants (Flipkart Minutes), fashion retailer Myntra, to FNP, which began life as the flower shop Ferns N Petals and now promises 60-minute delivery of an entire range of gift items.

The heart of the profit machine could be the dark stores—warehouses with 10,000-25,000 SKUs. "From product assortment to price selection, every aspect of dark store operations needs to be top-notch," Bhatnagar says. He says the cash burn won't be for predatory pricing but for advertisements and dark stores.

NOT EVERYTHING IS CASH-BURN

Rahul Taneja, Partner at Lightspeed India, an investor in Zepto, says one must differentiate between investment and burn. Every dark store is an investment (increasingly by franchisees) in acquiring customers in the area. This is not the same as burning money to acquire orders. "We believe the market is investing as it expands, and at a stable stage, there is a very large profit pool available," he says.

Meena says players will deploy immense amounts of money to stay on top. Profitability will still be hard to achieve as customer acquisition is the priority.

The kiranas, or small neighbourhood stores, are feeling the ripples. Shoppers are getting a quarter of their stuff from quick commerce platforms, and some have stopped visiting kiranas.

A second-generation store owner in Bengaluru says, "Only a few older patrons and loyal customers who prefer fresh fruits or vegetables visit us. Sales have dropped, although we take phone orders and offer doorstep delivery."

First, modern trade was expected to displace kiranas. Then came the e-commerce wave. However, quick commerce is a different ball game. It's already posing a serious threat, and this pressure will only intensify, analysts warn.

There's a glimmer of hope for kiranas. Start-ups such as Kiko Live and Kirana Pro are stepping in to help them digitalise and enable quick commerce via platforms such as the Open Network for Digital Commerce (ONDC), a government initiative.

For now, quick commerce seems unstoppable. The real test will lie in how well these companies can balance their ambitious growth with sustainable business practices. **BT**